WELLS FARGO
INVESTMENT INSTITUTE

2017 Midyear Outlook

Seize the Opportunities

A Letter to Investors From Darrell Cronk

May 31, 2017

One truism of investing is that uncertainties are always with us, but successful investing is built on the premise that uncertainty can create opportunity. That's how we are looking at the midpoint of 2017, and why we at Wells Fargo Investment Institute are calling our *2017 Midyear Outlook* report "Seize the Opportunities." I invite you to take a look within the following pages as we encourage you, the investor, to assess where you are in your investment plan and what is important to consider for the remainder of the year. As Henry Ford observed, "Obstacles are those frightful things you see when you take your eyes off your goal," and thus we encourage you to keep your sights set on your investment goals and not see uncertainty as a roadblock.

One of the most frequent questions I've received this year is "Where are we in the economic recovery, and is there still room to run?" It's a good question to ask because June will begin the ninth year of the current economic expansion, which officially began in June 2009. People ask the question because they are not certain how much longer we have in the expansion. The U.S. has enjoyed 11 official economic recoveries since World War II, and the one we are in today is the third longest, only surpassed by expansions from February 1961 to December 1969 and March 1991 to March 2001. In general, around the midpoint of most cycles, confidence increases, volatility decreases, monetary policy moves from an easier path to one that tightens, and money flows from more conservative assets to riskier assets. These traits are pretty consistent with our landscape today.

Consider the fact that consumer confidence is setting a 16-year high, volatility is at cycle lows, the monetary tightening path is appearing to accelerate, and flows have only recently turned net positive once again for global equities. This recovery cycle does have some unique characteristics, and we think we are most assuredly past the midpoint. However, we see few signs today that this cycle is in danger of imminently ending, and this is why we feel investors should continue to focus on their investment plans and to seize opportunities that may exist.

Market uncertainty and volatility are always a part of investing. We know that the global economy's normal ebbs and flows as well as geopolitical events can be cause for worry and a feeling of uncertainty. But even in the face of these potential risks, what matters most as investors is how we choose to respond to the inevitable events that move markets.

On behalf of Wells Fargo Investment Institute, it is our privilege to serve you by providing timely investment insights and actionable advice to help you reach your investment goals. We trust that you will find that guidance in the pages of our *2017 Midyear Outlook*. Thank you for being our clients, and I wish you much investment success for the remainder of the year.

Darrell Cronk, CFA
President, Wells Fargo Investment Institute
Chief Investment Officer, Wealth and Investment Management

Investment and Insurance Products: ▶NOT FDIC Insured ▶NO Bank Guarantee ▶MAY Lose Value

SEIZE THE OPPORTUNITIES

2017 FORECAST YEAR-END NUMBERS

2.3%
U.S. GDP Growth

2.4%
U.S. Inflation (CPI)

2,230–2,330
S&P 500 Index

1.25%–1.50%
Federal Funds Rate

2.25%–2.75%
10-Year U.S. Treasury Bond

$40–$50
West Texas Intermediate Crude Oil per Barrel

Source: Wells Fargo Investment Institute (WFII), May 31, 2017. Subject to change. A full list of WFII 2017 year-end forecasts is on page 16.

Economic and Market Overview

Global Economy

Page 4

- A strong labor market and solid household spending should support U.S. economic growth. We do not expect a recession in the coming 12 months.
- Economic growth is gaining strength in Europe, Asia, and Latin America.
- Modest U.S. dollar appreciation is likely in the coming 12 months, which could support earnings for non-U.S. companies.

Global Equities

Page 6

- We expect U.S. earnings growth to continue but prices to fade in the second half as valuations appear to be extended.
- International earnings are improving, but political uncertainties remain a risk.
- We are overweight the Consumer Discretionary, Financials, Health Care, and Industrials sectors and underweight Energy, Utilities, and Consumer Staples.

Global Fixed Income

Page 8

- We increased our 10- and 30-year U.S. Treasury yield targets in recognition of a maturing economy.
- As open Federal Reserve (Fed) leadership positions are filled, changing views on policy may provoke uncertainty and increased volatility.
- We recommend that investors consider moving up in credit quality.

Global Real Assets

Page 10

- Commodity bear super-cycles have averaged 20 years, and this one is only in its sixth year. We believe sideways price action is likely in the coming years.
- We advise overweighting Real Estate Investment Trusts (REITs).
- Master Limited Partnership (MLP) values may seem compelling with an average 7-percent yield, but prices are likely to stay range-bound along with oil prices.

Global Alternative Investments

Page 12

- Security selection should become more important as inflation and interest rates normalize, which should benefit Alternative Investments.
- As late-cycle volatility increases, we favor tactical, trading-oriented strategies.
- Greater delineation in corporate credit quality could provide initial opportunities for Long/Short Credit and, eventually, Distressed Credit.

Portfolio Implementation

Page 14

- We provide our top five portfolio strategies for the remainder of the year.

SLOW BUT STEADY

Paul Christopher, CFA
Head Global Market Strategist

Forward Motion Appears Intact

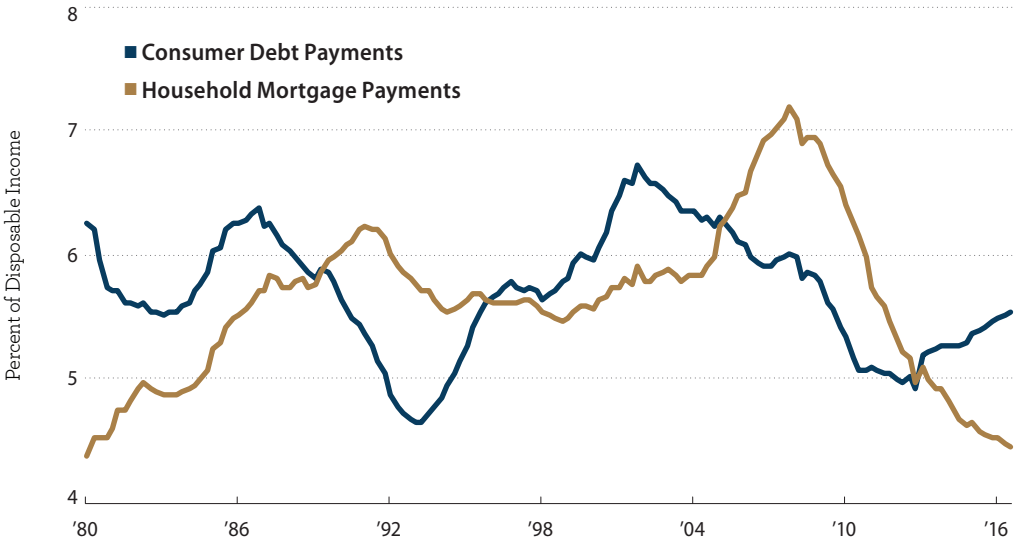
Consistent with our economic team at Wells Fargo Securities, we expected steady global economic growth with low inflation in 2017—as well as fluctuations in the value of the U.S. dollar. Also central to Wells Fargo's view was that no economic contraction, or recession, was in the offing. We believed the main risks for 2017 would be political uncertainties. These trends played out through midyear, although unequally. U.S. economic growth and inflation began the year on a weak note, but strengthening data on orders for new production point to steady economic improvement in the second half. Political developments provided a few surprises: The legislative calendar in Washington, D.C., was somewhat light, but the Trump administration was more active overseas than we had anticipated, with mostly positive trade policies, a supportive view of NATO, and security cooperation with China.

International Growth Is Modest but Finally in Step With the U.S.

For nearly five years, the U.S. economy has been the world's primary source of economic improvement. A better growth picture now includes Europe, Asia, and Latin America. Economic reforms in Europe are gaining traction, and we consequently raised our 2017 Eurozone gross domestic product (GDP) growth forecast to 1.6 percent from 1.3 percent. Even though the economic outlook is only moderate by historical standards, we do expect further improvement over the next 12 months, which could reinforce global confidence.

Household borrowing trends lack the exuberance that typically precedes a recession.

Consumer Debt and Mortgage Payments Have Declined From Recent Highs



Sources: Bloomberg, the Fed, and Wells Fargo Investment Institute

The data show estimated minimum consumer debt payments and minimum mortgage principal and interest payments as a percent of disposable income. Disposable income is after-tax income, calculated by the U.S. Bureau of Economic Analysis. Dates: March 31, 1980, through December 31, 2016.

As economic growth improves, flat commodity prices and moderate gains in wages and consumer spending should generate only small gains in global inflation. The combination of steady economic growth and restrained inflation should allow central banks to remove their monetary stimulus. Among the world's central banks, the Fed is normalizing monetary policy the fastest, which should continue to support the U.S. dollar. However, the U.S. economy's weak first quarter and the likely delay of tax reform until late 2017 or early 2018 leave our dollar outlook less positive than it was last December. We consequently revised our year-end dollar exchange value target ranges lower against the euro (from $0.96–$1.04 to $1.01–$1.09) and the yen (from ¥115–¥125 to ¥113–¥123).

In the U.S., we believe that job gains should continue at a moderate pace, while rising wages may temper corporate-earnings growth. Likewise, continued brisk U.S. home sales should support the economy in the near term, although rising prices eventually could dent affordability. Household and business spending patterns suggest measured growth, and borrowing trends show none of the exuberance that typically precedes the next recession. In fact, low interest rates have helped reduce consumer debt and household mortgage payments (as shown in the graphic on page 4), supporting household cash flow. We therefore do not expect a U.S. recession in the coming 12 months.

At midyear, investors updated their expectations for U.S. tax reform and infrastructure spending. These items are near the top of the legislative agenda, but implementation is unlikely until late 2017 or early 2018 at the earliest. Tax reform is likely to deliver a compromise between tax-rate cuts and fewer deductions that we believe may indirectly favor smaller companies because they have fewer deductions to lose.

International Equity Guidance by Regions

Favorable

- Pacific (Australia, Hong Kong, Japan, Singapore)
- Emerging Market Asia (China, India, Indonesia, Malaysia, Philippines, South Korea, Taiwan, Thailand)

Neutral

- Europe (Denmark, France, Germany, Great Britain, Italy, the Netherlands, Spain, Sweden, Switzerland)

Unfavorable

- Emerging Market Europe, Middle East, and Africa (Poland, Russia, South Africa, Turkey)
- Latin America (Brazil, Chile, Mexico)

Main Risks to Our Outlook

A significant risk is that the U.S. will impose punitive tariffs on other countries. Such measures could increase U.S. inflation and hurt companies with international supply chains. Fortunately, U.S. dealings so far with China, Mexico, and Canada suggest a more balanced approach.

Internationally, a significant risk to the global economic recovery is that China might move too aggressively to consolidate its Industrials sector, thus precipitating a broader slowdown in global trade, commodity prices, and inflation. A second risk is the growing impatience of voters in Western democracies for better jobs and wages; such impatience could lead to a reconsideration of nationalist policies, such as trade restrictions, that would pose negative consequences for earnings and could sharply inflate prices and borrowing costs. These risks are most prominent in the U.S. as well as in Europe, particularly Italy.

INVESTOR WATCH

- Slow-but-steady U.S. economic growth and low inflation should continue into 2018 and support equity markets while leading to higher bond yields.
- Overseas, economic conditions are improving, but the U.S. dollar still should appreciate modestly through year-end 2017.
- The U.S. economic expansion is maturing, but a recession between now and mid-2018 remains unlikely.

VOLATILITY AHEAD

Stuart Freeman, CFA
Co-Head of Global Equity Strategy

Sean Lynch, CFA
Co-Head of Global Equity Strategy

Scott Wren
Senior Global Equity Strategist

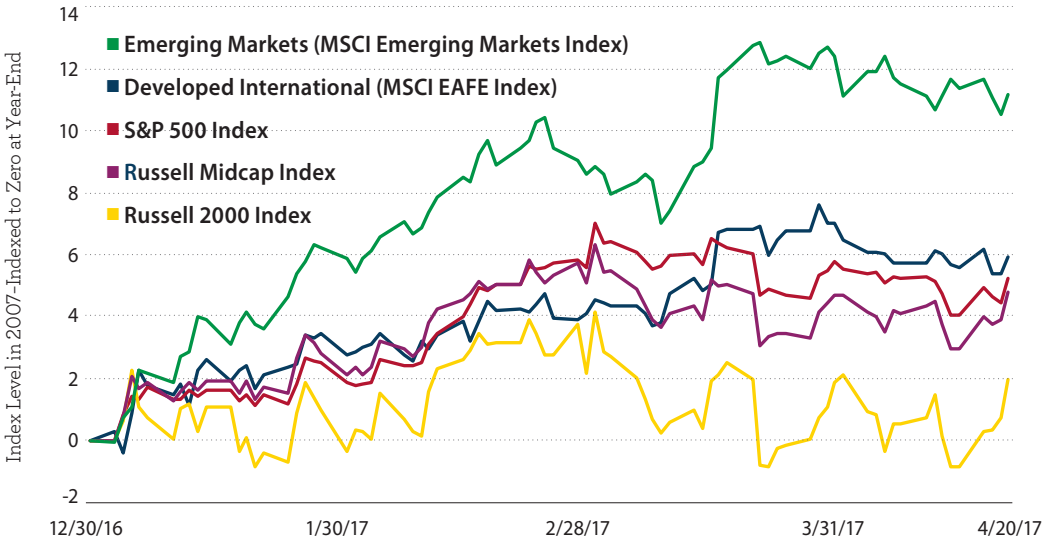
Continued U.S. Earnings Growth, Stretched Valuations

We expect stronger revenue and earnings growth for S&P 500 Index companies in 2017 versus 2016. We're targeting 5 percent to 6 percent in revenue expansion for this year, versus less than 3 percent for last year. We also forecast 7-percent to 8-percent growth in earnings per share versus approximately flat earnings in 2016. While 2015 and 2016 earnings were negatively affected by heavy declines in the Energy sector, oil prices have rebounded in 2017. A healthy consumer should continue to support growth in a variety of cyclical sectors, while expansion in developed international economies should benefit large multinational companies.

Despite positive earnings, we believe that the domestic bull market remains in its seventh inning, in large part because of valuations. As of May 25, the S&P 500 Index was trading at a level that was above our year-end target; we expect a pullback before the end of 2017. Looking at valuations, stocks were selling at 19.0 times our earnings-per-share estimate for this year, versus a 20-year median of 16.4 times, and the price/sales ratio had increased to a level not experienced since 2001. In addition, the Fed has begun to raise its key interest rate; rate-hike cycles are typically a headwind for stock prices. Well-diversified portfolios typically fare better during market pullbacks than those lacking adequate diversification. Rebalancing portfolios to strategic allocations may be in order.

A Strong Start for International Equities

Developed and emerging equity markets outperformed the main U.S. indices. U.S. markets entered the year with higher valuations, while lower valuations and some signs of economic stabilization helped international markets.



Sources: Thomson Reuters Baseline and Wells Fargo Investment Institute. Dates: December 30, 2016, through April 20, 2017. An index is unmanaged and not available for direct investment. Please see the end of this report for the risks associated with the representative asset classes and for definitions of the indices. **Past performance is no guarantee of future results.**

Sector and Asset-Class Recommendations for the Second Half

We currently recommend overweighting the Consumer Discretionary sector based upon consumer spending power and moderate valuations. We foresee increased capital spending as the domestic and international economies expand simultaneously. This should drive later-cycle earnings for Industrials. We are overweight the Financials sector because we believe it should benefit from a combination of modestly higher spreads, continuing lending growth, and potential regulatory revisions. Finally, we are also overweight one relatively defensive growth sector, Health Care, based upon long-term earnings growth potential and current valuations. We recommend underweighting small-cap stocks and are evenweight mid-cap stocks, mostly because of valuations.

Earnings Momentum Is Building in International Markets

In emerging markets, a dose of stability and incremental economic growth sparked outperformance in the first half of the year. We will be watching for earnings growth in emerging markets in the second half. One key factor will be the effect on international trade of the increased threat of protectionism.

In developed markets, our forecast calls for earnings growth to drive market gains. We have seen earnings estimates improve across the developed markets, with the biggest increases in Japan and Europe. Yet, our target prices and outlooks imply limited upside for the international markets. We may see better forward visibility on earnings, but our forecasts remain below consensus. Should we see a clearer path to improved earnings, we may become more constructive on international markets. Until then, we remain evenweight Developed Market ex-U.S. Equities and Emerging Market Equities.

Main Risks to Our Outlook

One key risk to our outlook would be any event that resulted in consumers saving instead of spending, which could dampen earnings. On the political side, signs that proposed growth-positive policies might not come to fruition could dampen the outlook for growth.

The biggest downside risks are that the remaining European elections might result in hard nationalist stances, Japan's growth once again disappoints, or the U.K.'s exit from the European Union (Brexit) proves an unexpectedly large headwind to growth. In emerging markets, we could see a slowdown in China's growth if it moves away from needed reforms.

Equity Recommendations

Evenweight

- U.S. Large Cap
- U.S. Mid Cap
- Developed Market ex.-U.S.
- Emerging Market

Underweight

- U.S. Small Cap

Sectors to Overweight for the Second Half

- Consumer Discretionary
- Financials
- Health Care
- Industrials

Sectors to Underweight for the Second Half

- Energy
- Utilities
- Consumer Staples

INVESTOR WATCH

- At current valuations, volatility is likely to rise as the Fed slowly raises rates.
- In the domestic space, we favor Large Cap Equities and Mid Cap Equities over Small Cap Equities. We remain underweight Small Cap Equities due to excessive valuations and earnings expectations.
- Investors should rebalance equity portfolios to avoid overweighting asset classes and sectors that have run higher since November.
- We remain evenweight Developed Market ex-U.S. Equities and Emerging Market Equities.

SHIFTING TIDES

Brian Rehling, CFA
Co-Head of Global Fixed Income Strategy

George Rusnak, CFA
Co-Head of Global Fixed Income Strategy

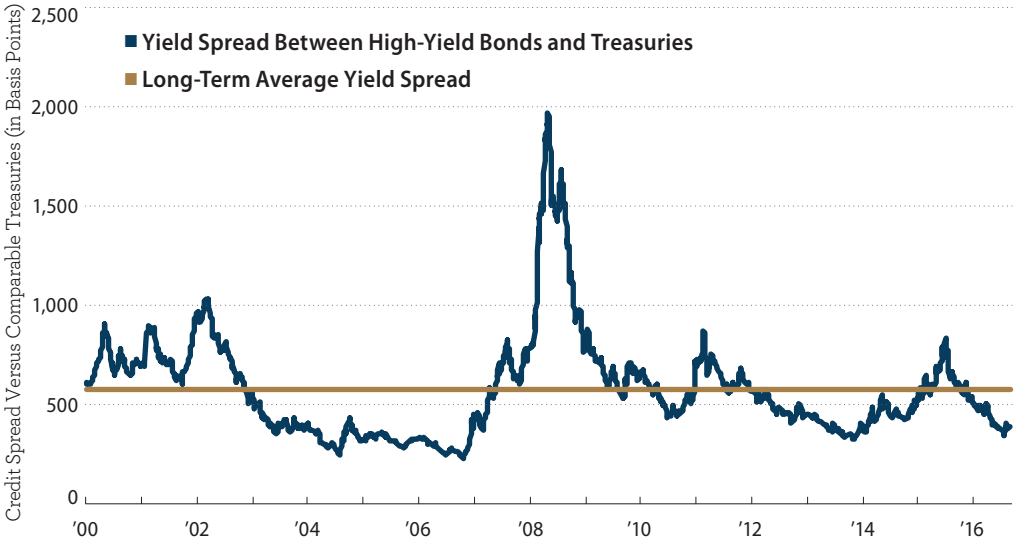
Stay Focused Amid Change

Investors may have felt that the bond market was on the precipice of a significant paradigm shift in the first half of 2017. The Fed raised expectations for the number of interest-rate hikes in 2017 and began discussing the possibility of balance-sheet reductions. Swings between fiscal optimism and disappointment toyed with bond investors' emotions. Bond prices reacted as investors added or reduced risk based on sentiment and economic developments. Extraneous events may continue to provide periods of uncertainty that drive Treasury yields lower during the second half of 2017. However, we look for yields to slowly trend higher over time as the bond market focuses on a more positive forward-looking economic picture.

With this focus in mind, we are fine-tuning our year-end yield targets and increasing our Fed rate-hike forecast. The Fed appears intent on raising short-term interest rates two more times this year. Our new year-end federal funds target rate forecast is 1.25 percent to 1.50 percent. We are increasing our 10-year Treasury target range by 0.25 percent; our new range is 2.25 percent to 2.75 percent. And we are increasing our 30-year Treasury target range by 0.25 percent; the new range is 3.00 percent to 3.50 percent.

Narrower Yield Differential Between High Yield and Treasury Securities Brings Risk

The yield differential (or spread) between bonds in the Bloomberg Barclays U.S. Corporate High Yield Bond Index and comparable Treasury securities was just 3.96 percent. This was below the long-term average for the yield spread, which is represented by the horizontal line. Tight yield spreads tend to inject risk into lower-credit-quality fixed-income sectors.



Sources: Bloomberg and Wells Fargo Investment Institute

Dates: August 15, 2000, through April 19, 2017. One basis point is equal to 1/100 of 1 percent, or 0.01 percent. One percent equals 100 basis points. Past performance is no guarantee of future results.

Refreshing the Fed's Balance Sheet

The Fed has signaled that it is rethinking its balance sheet reinvestment strategy, and a change could come later this year. A reduction in the size of the Fed's balance sheet would be a form of monetary tightening. It would also mark a milestone in the return to a more normalized monetary policy.

Although a balance sheet reduction would generate significant media attention, we do not anticipate lasting bond market disruptions as a result. We do not expect the Fed to sell securities outright; rather, we expect it to reduce its rate of reinvestment. We also look for the Fed to pause or slow its pace of interest-rate hikes once it begins quantitative tightening. We urge investors to focus on the bigger picture of a maturing economy and normalized monetary policy.

Be Wary of Credit Risk

Lower-quality bonds have had a great run; the Bloomberg Barclays U.S. Corporate High Yield Bond Index rose more than 17 percent in 2016. In our view, the opportunity for meaningful upside performance in high-yield bonds has lessened, although we believe a solid economy will prevent negative returns in the latter half of 2017. That said, downside risk often materializes with little notice. Given the relative value across the credit spectrum, we favor moving up in credit quality and recommend that investors hold an underweight allocation to high-yield debt.

The Risk of Open Positions at the Fed

President Trump will have the opportunity to fill three open Fed governor positions this year, giving him the chance to meaningfully reshape the Federal Open Market Committee. In addition, we look for President Trump to nominate a new Fed chair during the second half of 2017 to replace Janet Yellen when her term ends in February 2018. The sheer number of changes could create uncertainty, which is rarely good for the bond market. Clear communication from the administration could help allay fears. There is also the possibility that Chair Yellen might be renominated, which would provide some assurance of continuity.

Major Risks to Our Outlook

After President Trump's election, investors traded on the assumption that his policies would reignite growth and inflation—the so-called reflation trade. That trade faced some growing pains, if not outright skepticism and doubt, in early 2017. For example, the Treasury yield curve flattened over the first half of 2017 after previously steepening in late 2016. While not our base-case expectation, additional curve flattening would be a risk not just to our fixed-income targets but also to our call on continued economic growth.

Fixed-Income Recommendations

Overweight

- U.S. Taxable Investment Grade
- U.S. Intermediate Term Taxable

Evenweight

- Cash Alternatives
- U.S. Short Term Taxable
- U.S. Long Term Taxable
- Emerging Market

Underweight

- High Yield Taxable
- Developed Market ex.-U.S.

Top Sectors for the Second Half

- Inflation-Linked (Treasury Inflation-Protected Securities, or TIPS)
- Essential Service Revenue (Municipal Bond Sector)

INVESTOR WATCH

- We do not believe that investors are being rewarded to take incremental credit risk. We favor underweighting high-yield bonds while moving up in credit quality.
- Municipal bonds look attractive for investors in higher tax brackets.
- Investors looking to better position a fixed-income portfolio for a rising-rate environment should consider premium bonds.
- A stronger dollar and higher global rates are significant headwinds to international developed fixed-income markets. We continue to strongly reiterate our underweight to this asset class.

STEERING THROUGH THE SUPER-CYCLE

John LaForge
Head of Real Asset Strategy

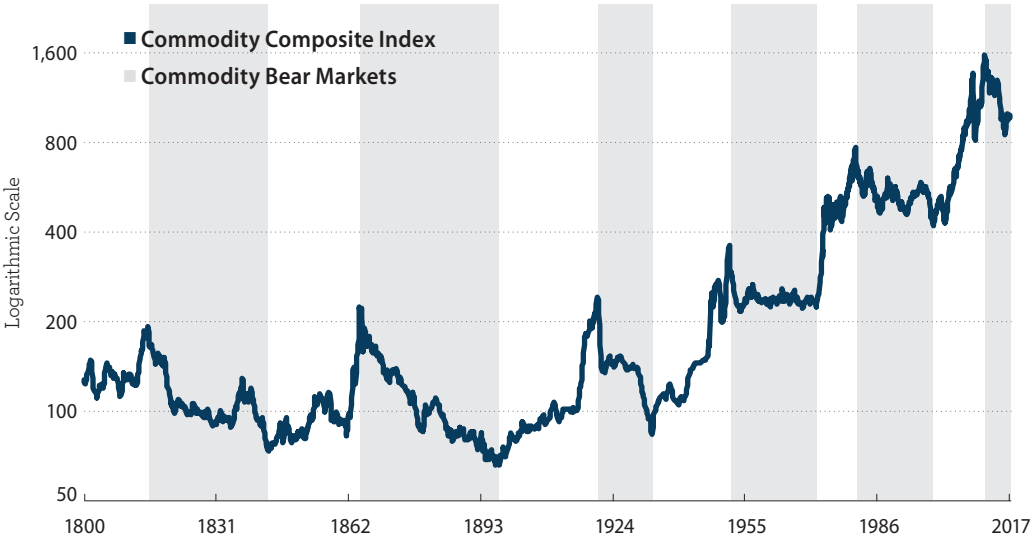
Commodities Should Trade Within Defined Ranges

During the first half of 2017, real assets generally have performed as expected—commodities have underperformed, Master Limited Partnerships (MLPs) have performed like the market, and Real Estate Investment Trusts (REITs) have outperformed. We're expecting more of the same in the second half of 2017.

Commodities remain stuck in that pesky bear-market super-cycle that we love to discuss. This year will mark the sixth year of the cycle; as a reminder, using data back to the year 1800, the average bear-market super-cycle has lasted nearly 20 years, and most of the price damage tends to happen in the first five years.

Bear-market super-cycles tend to be longer-lived than bull-market super-cycles. History suggests we have some years left in this current bear super-cycle.

A Look at Past Commodity Super-Cycles



Commodity Bull Super-Cycles

	PERCENTAGE GAIN	LENGTH (YEARS)
1802–1814	73.9%	12.1
1843–1864	208.2%	21.6
1896–1920	269.7%	24.0
1933–1951	331.5%	18.3
1971–1980	249.5%	9.1
1999–2011	277.2%	12.2
Average Bull	235.0%	15.9

Commodity Bear Super-Cycles

	PERCENTAGE LOSS	LENGTH (YEARS)
1814–1843	-62.2%	28.3
1864–1896	-70.7%	31.8
1920–1933	-65.7%	12.8
1951–1971	-38.6%	20.4
1980–1999	-45.7%	18.6
Current Bear	-40.9%	6.0
Average Bear	-54.0%	19.6

Sources: Bloomberg and Wells Fargo Investment Institute. Monthly data: January 31, 1800, through March 31, 2017.

Dates selected to show all available data on commodity bear markets. Commodity Composite Index measures a basket of commodity prices as well as inflation. It blends the historical commodity index from George F. Warren and Frank A. Pearson; the U.S Bureau of Labor Statistics Producer Price Index for Commodities; the National Bureau of Economic Research Index of Spot Market Prices of 22 Commodities; and the Reuters Continuous Commodity Index. Please see the end of this report for the risks associated with the representative asset class.

Past performance is no guarantee of future results.

A Tour of the Commodity Complex

At this point, most commodities are still trying to shrug off excess supply, which should keep their prices within wide trading ranges. A rapid reduction in excess supply would pose a risk to our thesis, but we do not see this happening for a few more years. Of the different commodity sectors—energy, agriculture, industrial metals, and precious metals—we believe that agriculture offers the best long-term potential. While we do not see an immediate need to invest in agriculture today, it does offer opportunities for tomorrow. Expect us to share additional perspectives on this topic in the coming months.

Oil is one of the commodities that we suspect will most closely follow the pattern of past bear-market cycles. Each time the price of oil approaches $60 per barrel, rig counts rise and more supply makes its way to market. The oil market thus remains mired in excess supply. We forecast that West Texas Intermediate Crude Oil will end 2017 in the $40 to $50 range and that Brent Crude Oil will end the year in the $45 to $55 range.

We believe the direction for MLPs, many of which are in the oil business, is likely to be influenced by the price of oil. MLPs offer compelling values relative to other high-yielding assets, with an average 7-percent yield,[1] but we see limited upside for MLPs as oil prices have limited upside. We expect MLPs to perform at levels similar to the overall market.

Gold can act as a perceived safe haven, so there will be periods when it will bob while the rest of the commodity complex weaves. Yet, the gold market also remains swamped in excess supply. Generally speaking, we expect gold to trade like other commodities—stuck in a wide price range. During the rest of 2017, we suspect that range will be between $1,150 and $1,250 per ounce.

As for REITs, their fundamentals remain relatively sound, and we expect them to stay that way for a few more years. REIT valuations also look attractive compared with most other yield-based investments. We expect to remain overweight REITs in the back half of 2017. Moreover, we prefer U.S. REITs to global REITs, mainly because of a more stable fundamental backdrop for the former.

Real Assets Recommendations

Overweight

› Public Real Estate

Evenweight

› Private Real Estate

Underweight

› Commodities

*For more on gold's future and past, please see our five-piece series from March, "**Focus on Gold**."*

Main Risks to Our Outlook

Our favorable outlook for REITs could change if interest rates quickly move higher. Our research indicates that high-yielding investments such as REITs tend to suffer in rising-rate environments.

MLPs also tend to lag in a rising-rate environment. If interest rates spike unexpectedly, we would expect MLPs to underperform. During past periods of rising interest rates, MLPs with large market caps and strong balance sheets have weathered the storm best.

1. *Yield for Alerian MLP Index, a composite of the 50 most prominent energy MLPs, as of May 19, 2017.* ***Past performance is no guarantee of future results.***

INVESTOR WATCH

› We recommend an overweight position to REITs and an underweight to commodities.

› We expect gold to trade like other commodities—stuck in a wide price range.

› MLPs should perform more in line with the overall market.

BRIGHTENING SKIES

Adam Taback
Head of Global Alternative Investments

A Better Day for Active Management

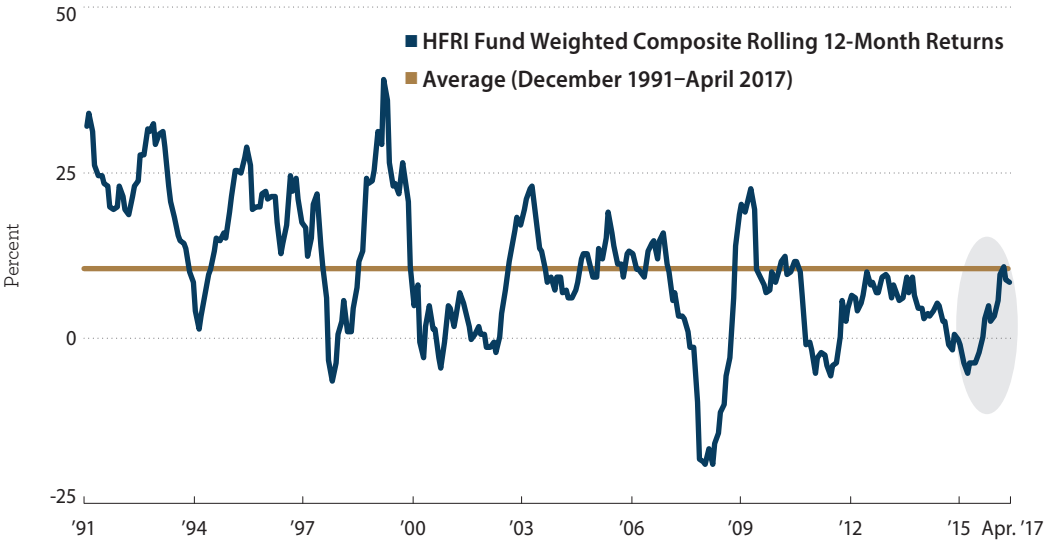
Much news in late 2016 and early 2017 focused on the rise of global populism and possible changes in national political systems. The fact that we're also witnessing a change in the macroeconomic system has been less noticed. In many markets, the era of quantitative monetary stimulus is coming to an end. In its place, we believe, will be an era much more supportive of active management and one where security selection will be paramount to portfolio performance. For alternative investments, the postcrisis regime created challenges for active management. A distortion in prices and relationships among global assets, coupled with suppression of volatility and reduced emphasis on corporate fundamentals, enabled passive investing to thrive.

Although it would be naïve to assume that any changes in fiscal policy will be implemented seamlessly, we have observed a broad-based improvement in hedge fund performance over the past 12 months. A decline in correlations among assets and a better opportunity to generate excess returns from long and short positions is part of the new era for alternative investments, one that we anticipate will remain in place for the foreseeable future.

We have observed a broad-based improvement in hedge fund performance over the past 12 months.

Hedge Fund Returns Began Normalizing in 2016

We believe the increases in interest rates and inflation that began in 2016, coupled with less focus on U.S. monetary stimulus, resulted in stronger performance for hedge funds.



Sources: Bloomberg and Wells Fargo Investment Institute.

Dates: January 1, 1990, through April 1, 2017. HFRI Fund Weighted Composite Index is a global, equal-weighted index of over 2,000 single-manager funds that report to HFR Database. Please see the end of this report for the risks associated with the representative asset classes. An index is unmanaged and not available for direct investment.
Past performance is no guarantee of future results.

Gradually Rising Inflation and Interest Rates Should Aid Active Management

The effect of higher interest rates on active management cannot be overstated; low borrowing costs and the ability to amend and extend debt provided relief for many poorly managed companies—to the detriment of stock and credit pickers who specialize in separating the winners from the losers. Deteriorating balance sheets already are evident within the high-yield debt market. The Energy sector was the first to crack, and we now are seeing signs of distress within retail. We see the line between healthy and unhealthy balance sheets as a budding opportunity for Long/Short Credit and, eventually, Distressed Credit strategies.

We also believe that the removal of monetary stimulus should result in increased equity and fixed-income volatility, which should improve the opportunity set for active management, especially tactical strategies like Relative Value and Equity Hedge. Macro strategies should continue to improve portfolio diversification, but they are unlikely to deliver outsized returns given the choppy nature of global assets; we believe this is especially true of Systematic Macro strategies.

Qualified Investors Should Benefit From Tactical, Low-Beta Strategies

With modest return expectations for equities, fixed income, and real assets over the next 12 months, we believe that qualified investors should benefit from strategies that do not rely on significant market exposure to generate returns. We favor tactical, trading-oriented strategies such as Low-Net Equity and Relative Value, especially as volatility increases. Moreover, Structured Credit remains attractive versus corporate credit; consumer and commercial real estate credit fundamentals continue to support a strategy that typically has moderate credit or interest-rate risk (as measured by duration). For instance, precrisis commercial mortgage-backed securities (CMBS) remain attractive relative to similarly rated corporate bonds. These securities are reaching maturity with very low default rates, and therefore have the potential to provide high levels of cash flow with low duration.

Main Risks to Our Outlook

The primary risk to our outlook is that we return to the postcrisis era, marked by quantitative easing and high correlations among asset classes. This could be triggered by a geopolitical event but would more likely result from policy missteps. In addition, our expectation for opportunities in distressed debt might be early, especially if the low-interest-rate environment persists. We also would watch trends in consumer credit and commercial real estate; deterioration in either could affect Structured Credit, while the latter could affect CMBS.

Global Alternative Recommendations*

Overweight

Hedge Funds—Relative Value

Hedge Funds—Equity Hedge

Evenweight

Private Equity

Private Debt

Hedge Funds—Event Driven

Hedge Funds—Macro

**Alternative investments, such as hedge funds and private capital funds, are not suitable for all investors. They are available only to persons who are accredited investors or qualified purchasers within the meaning of the U.S. securities laws.*

To better understand the role alternative investments can play in a diversified portfolio, see our educational series ***"Alternative Thinking: Helping Investors Understand Alternative Investments."***

INVESTOR WATCH

- The growing number of debt downgrades and increased risk of default should create opportunities for Long/Short Credit and, eventually, Distressed Credit strategies.
- We favor tactical, strategies such as Low-Net Equity and Relative Value, which should benefit from higher stock and bond market volatility as well as greater dispersion among securities.
- We continue to see opportunities within Structured Credit, especially in precrisis CMBS that are attractively priced relative to corporate credit.
- Private Capital strategies offer an illiquidity premium and remain a recommendation, especially distressed and special situations Private Debt strategies in Latin America and Europe.

PORTFOLIO IMPLEMENTATION

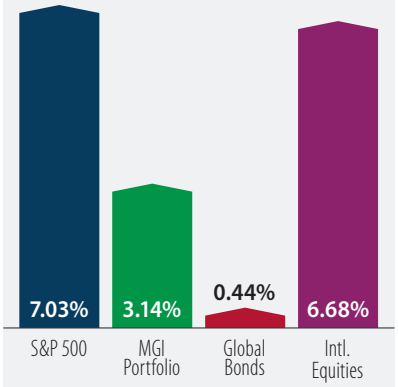
Tracie McMillion, CFA
Head of Global Asset Allocation

A First-Half Recap—First Optimism, Then Uncertainty

As market conditions change, asset-class performance can create large swings in returns across a portfolio. During the first half of 2017, we've seen three distinct phases of market returns.

Postelection Optimism

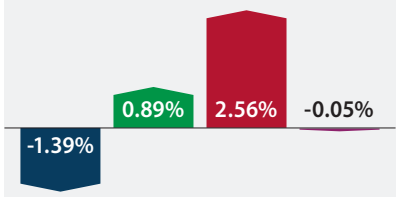
January 1–March 15



U.S. equities started out the year strong, riding the tails of the postelection rally. All of the major domestic and international equity classes posted healthy first-quarter gains, led by emerging market equities. For the first few weeks of the year, U.S. large-cap equities were the top-performing asset class, but by March, they had started to lag.

Uncertainty Sets In

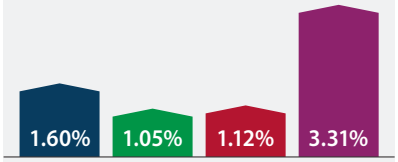
March 16–April 22



In mid-March, disappointment over certain domestic policies and worries over the outcome of the French elections triggered a sell-off in the equity markets. Interest rates dropped, and global bond markets gained. The Fed rate hike around the same time did not appear to affect equity markets much because it was so highly anticipated.

Partial Recovery

April 23–May 19



European stocks climbed sharply following the market-friendly outcome of the French elections. Market volatility spiked in mid-May when it was reported that President Trump may have interfered with an ongoing FBI investigation. These fears were quickly assuaged, and investors refocused on corporate earnings and positive global economic conditions.

Sources: Morningstar Direct and Wells Fargo Investment Institute as of May 19, 2017.

- S&P 500 Index
- **Moderate Growth and Income Three Asset Group Portfolio:** 3% Bloomberg Barclays U.S. Treasury Bill 1–3 Months, 4% Bloomberg Barclays U.S. Aggregate (1–3Y), 16% Bloomberg Barclays U.S. Aggregate (5–7Y), 7% Bloomberg Barclays U.S. Aggregate (10+Y), 6% Bloomberg Barclays U.S. Corporate High Yield Bond Index, 3% JPM GBI Global Ex-U.S. TR USD Index, 5% JPM EMBI Global TR USD Index, 21% S&P 500 Index, 9% Russell Midcap TR USD Index, 8% Russell 2000 Index, 6% MSCI EAFE GR USD Index, 5% MSCI EM GR USD, 5% FTSE EPRA/NAREIT Developed TR USD Index, 2% Bloomberg Commodities Index.
- Bloomberg Barclays Multiverse Index
- MSCI All Country World Index

Performance results for the Three Asset Group Portfolio are hypothetical and for illustrative purposes only. Hypothetical results do not represent actual trading and the results achieved do not represent the experience of any individual investor. In addition, hypothetical results do not reflect the impact of any fees, expenses, or taxes applicable to an actual investment. The indices reflect the historical performance of the represented assets and assume the reinvestment of dividends and other distributions. An index is unmanaged and not available for direct investment. **Hypothetical and past performance do not guarantee future results.** Different investments offer different levels of potential return and market risk. Please see the end of this report for the risks associated with the representative asset classes and for definitions of the indices.

Top Five Recommendations for the Second Half of 2017

We strongly believe that the foundational principles of investing—including diversification, globalization, and portfolio rebalancing—are vitally important in today's markets. Here are the five portfolio recommendations that we think will be critical to investor success in the second half of the year.

REDUCE CERTAIN RISKIER ASSET CLASSES

As we enter a period of policy transition and heightened geopolitical uncertainty that could affect financial markets, we see risks among equities and lower-quality bonds. Historically, as the Fed increases interest rates, equity valuations tend to contract. In our view, that means U.S. equity prices are likely to be lower by year-end. We believe domestic small-cap stocks are especially vulnerable to market pullbacks. Relatively tight yield spreads inject risk into lower-credit-quality sectors of the bond markets. We prefer higher-quality bonds at this point in the interest-rate cycle, including U.S. taxable investment-grade bonds and U.S. intermediate-term taxable bonds.

BROADEN YOUR GEOGRAPHIC EXPOSURE

U.S. equity markets outperformed international equity markets in four of the past five years. As such, many investors are heavily positioned in U.S. stocks. Recently, fundamentals have improved in many overseas markets, which could provide a tailwind for international investment performance, particularly in developed markets in the Asia Pacific region and in emerging markets across Asia. At the same time, U.S. equity performance could stall.

INCREASE YOUR NONTRADITIONAL SOURCES OF RETURN

We think investors will benefit from the growth and income attributes of public real estate (REITs) as global demand for property improves, commercial real estate price gains pick up, and real estate investor confidence improves. Today's environment is also conducive to relatively higher risk-adjusted returns from alternative investments for financially sophisticated, qualified investors. Relative Value managers may benefit from retail-related distressed credit, while Equity Hedge fund managers can use long and short strategies in an attempt to take advantage of current stock price dispersion and low correlations among asset classes.

BE AGILE WITH YOUR TACTICAL SHIFTS

Incorporating tactical shifts (lasting 6 to 18 months) into a longer-term allocation strategy (lasting 10 to 15 years) can aid performance and help manage risk. Given our expectations for relatively low returns over the balance of the year, it is important to quickly take advantage of market mispricings or look for opportunities to reduce risk ahead of market volatility. Tactically, we remain slightly underweight risk assets because we see limited upside in several equity asset classes through year-end 2017.

RECONSIDER YOUR ACTIVE/PASSIVE MIX

Historically, active managers have been able to take advantage of inefficient markets, such as small-cap equities and high-yield bonds, and have outperformed toward the end of an economic cycle. Passive strategies tend to work best earlier in the economic cycle and in efficient markets, such as large-cap equities. As we enter the latter stages of this market cycle, we recommend a blended approach, one that includes a mix of active strategies that can benefit from late-cycle conditions and passive strategies that tend to work best in deep, efficient markets.

Economic and Market Forecast

Global Economy	2017E	2016	2015
Domestic U.S. GDP Growth	2.3%	1.6%	2.6%
Domestic U.S. Inflation	2.4%	2.1%	0.7%
Domestic U.S. Unemployment Rate	4.5%	4.7%	5.0%
Global GDP Growth	3.3%	3.1%	3.4%
Developed Market GDP Growth	1.7%	1.7%	2.1%
Developed Market Inflation	1.9%	1.0%	0.5%
Emerging Market GDP Growth	4.4%	4.1%	4.2%
Emerging Market Inflation	5.2%	3.8%	5.2%
Eurozone GDP Growth	1.6%	1.8%	2.0%
Eurozone Inflation	1.2%	1.1%	0.2%
Dollar/Euro Exchange Rate	$1.01–$1.09	$1.05	$1.09
Yen/Dollar Exchange Rate	¥113–123	¥117	¥120

Although we forecast that U.S. inflation will move above the Fed's 2-percent target, we believe that flat commodity prices and restrained wage growth will limit further increases.

We expect moderate appreciation in the U.S. dollar versus the euro and the yen.

Global Equities			
S&P 500 Index	2230–2330	2239	2044
S&P 500 Operating Earnings Per Share	$127	$117	$118
Russell Midcap® Index	1750–1850	1784	1596
Russell Small Cap Index	1270–1370	1357	1136
MSCI EAFE Index	1790–1890	1684	1716
MSCI Emerging Markets (EM) Index	935–1015	862	794

Global Fixed Income			
10-Year U.S. Treasury Yield	2.25%–2.75%	2.44%	2.3%
30-Year U.S. Treasury Yield	3.00%–3.50%	3.07%	3.0%
Federal Funds Rate	1.25%–1.50%	0.75%	0.5%

The Fed has indicated that it might reduce its bond holdings, which would be a milestone in the return to normalized monetary policy.

Global Real Assets			
West Texas Intermediate Crude Price	$40–$50	$54	$37
Brent Crude Price	$45–$55	$57	$37
Gold Price	$1150–1250	$1152	$1061

We continue to believe that real assets are in a long-term bear market and forecast flat prices for crude oil and gold.

Wells Fargo Investment Institute forecasts.

Sources: FactSet, Bloomberg, and Wells Fargo Investment Institute, May 31, 2017

GDP = gross domestic product

E = estimate

West Texas Intermediate Crude Oil is a light, sweet (that is, low sulfur) crude oil, which is the main type of U.S. crude oil traded in U.S. futures markets. Brent Crude Oil is a light, sweet crude oil extracted from the North Sea. It serves as a major benchmark price for purchases of oil worldwide.

Forecasts are subject to change.

Focus on the Big Picture

Each quarter, Wells Fargo Investment Institute publishes a special focus report that examines a theme that could affect investors today and in the years to come. Here are descriptions for the reports that have been released and for those scheduled for the balance of 2017.

The Divided Recovery

FOCUS THEME ONE

Published January 2017

We are in the latter stages of the business cycle, but this recovery has lagged prior recoveries, and the benefits have accrued unevenly to different groups of investors, workers, and countries. It is important that investors adapt to this changing environment.

The Agile Investor

FOCUS THEME TWO

Published May 2017

We believe that this is a good time for agile investors who are willing to make tactical adjustments to their long-term portfolio allocations. We also urge investors to take a fresh look at integrating active and passive approaches and to consider innovative investment strategies.

Investing Across Generations

FOCUS THEME THREE

Scheduled for July 2017

Baby Boomers and Millennials are trading places as the latter become the largest working generation and the former retire from the workforce. Boomers may want to acknowledge their expected longevity by including growth assets in their portfolios, while younger workers may want to start saving as early as possible for their retirement.

Policies of Change

FOCUS THEME FOUR

Scheduled for October 2017

Old and new government policies will attempt to extend the maturing economic cycle. The mix of policies should create potential opportunities, but investors may need to be more selective. Alternative investments can take advantage of the maturing economic cycle, which we expect to increase price dispersion in equity markets.

To receive your copy of these reports, ask your Wells Fargo investment professional or visit wellsfargo.com/investment-institute.

Portfolio Implementation Index Definitions, page 14

An index is unmanaged and not available for direct investment.

Bloomberg Barclays Multiverse Index provides a broad-based measure of the global fixed-income bond market. The index represents the union of the Global Aggregate Index and the Global High-Yield Index and captures investment-grade and high-yield securities in all eligible currencies. Standalone indices such as the Euro Floating-Rate ABS Index and the Chinese Aggregate Index are excluded. The Multiverse Index family includes a wide range of standard and customized subindices by sector, quality, maturity, and country. JP Morgan Global Ex-United States Bond Index is a total return, market-capitalization-weighted index, rebalanced monthly, consisting of the following countries: Australia, Germany, Spain, Belgium, Italy, Sweden, Canada, Japan, United Kingdom, Denmark, Netherlands, and France.

MSCI All Country World Index is a free-float-adjusted market-capitalization-weighted index that is designed to measure the equity market performance of developed and emerging markets. The Index consists of 46 country indices comprising 23 developed and 23 emerging market country indices.

Moderate Growth and Income Three Asset Group Portfolio

Bloomberg Barclays 1-3 Month U.S. Treasury Bill Index includes all publicly issued zero-coupon U.S. Treasury bills that have a remaining maturity of less than three months and more than one month, are rated investment grade, and have $250 million or more of outstanding face value. In addition, the securities must be denominated in U.S. dollars and must be fixed rate and nonconvertible.

Bloomberg Barclays U.S. Aggregate 1-3 Year Bond Index is unmanaged and is composed of the Barclays U.S. Government/Credit Index and the Barclays U.S. Mortgage-Backed Securities Index, and includes Treasury issues, agency issues, corporate bond issues, and mortgage-backed securities with maturities of one to three years.

Bloomberg Barclays U.S. Aggregate 5-7 Year Bond Index is unmanaged and is composed of the Barclays U.S. Government/Credit Index and the Barclays U.S. Mortgage-Backed Securities Index, and includes Treasury issues, agency issues, corporate bond issues, and mortgage-backed securities with maturities of five to seven years.

Bloomberg Barclays U.S. Aggregate 10+ Year Bond Index is unmanaged and is composed of the Barclays U.S. Government/Credit Index and the Barclays U.S. Mortgage-Backed Securities Index, and includes Treasury issues, agency issues, corporate bond issues, and mortgage-backed securities with maturities of 10 years or more.

Bloomberg Barclays U.S. Corporate High Yield Index covers the universe of fixed-rate, non-investment-grade debt.

Bloomberg Commodity Index is a broadly diversified index composed of 22 exchange-traded futures on physical commodities and represents 20 commodities weighted to account for economic significance and market liquidity.

FTSE EPRA/NAREIT Developed Index is designed to track the performance of listed real estate companies and REITs in developed countries worldwide.

JPMorgan Global Ex United States Index (JPM GBI Global Ex-US) is a total return, market-capitalization-weighted index, rebalanced monthly, consisting of the following countries: Australia, Germany, Spain, Belgium, Italy, Sweden, Canada, Japan, United Kingdom, Denmark, Netherlands, and France.

JPMorgan Emerging Markets Bond Index Global (EMBI Global) currently covers 27 emerging market countries. Included in the EMBI Global are U.S.-dollar-denominated Brady bonds, Eurobonds, traded loans, and local market debt instruments issued by sovereign and quasi-sovereign entities.

MSCI EAFE Index is a free-float-adjusted market-capitalization-weighted index that is designed to measure the equity market performance of developed markets, excluding the U.S. and Canada.

MSCI Emerging Markets Index is a free-float-adjusted market-capitalization-weighted index that is designed to measure equity market performance of emerging markets.

Russell Midcap® Index measures the performance of the 800 smallest companies in the Russell 1000® Index.

Russell 2000® Index measures the performance of the 2,000 smallest companies in the Russell 3000® Index, which represents approximately 8 percent of the total market capitalization of the Russell 3000 Index.

S&P 500 Index is a market-capitalization-weighted index composed of 500 widely held common stocks that are generally considered representative of the U.S. stock market.

Risk Considerations

All investing involve risks, including the possible loss of principal. There can be no assurance that any investment strategy will be successful or will meet its investment objective. Investments fluctuate with changes in market and economic conditions and in different environments due to numerous factors, some of which may be unpredictable. Each asset class has its own risks and return characteristics.

Some of the risks associated with the asset classes discussed throughout this report include:

Alternative investments, such as hedge funds, private capital funds, and private real estate funds, are not suitable for all investors. They are speculative and present an increased risk of investment loss, including the loss of the entire amount invested. While investors may potentially benefit from the ability of alternative investments to potentially improve the risk/reward profiles of their portfolios, the investments themselves can carry significant risks. Government regulation and monitoring of these types of investments may be minimal or nonexistent. There may be no secondary market for alternative investment interests and transferability may be limited or even prohibited. Hedge fund strategies, such as Equity Hedge, Event Driven, Macro, and Relative Value, may expose investors to risks such as short selling, leverage, counterparty, liquidity, volatility, the use of derivative instruments, and other significant risks. Short selling involves the risk of a potentially unlimited increase in the market value of the security sold short, which could result in a potentially unlimited loss to a portfolio. In addition, taking short positions in securities is a form of leverage that may cause a portfolio to be more volatile. Leverage can significantly increase return potential but create greater risk of loss. Counterparty risk is the risk that the other party to the agreement will default at some time during the life of the contract. At times, a fund may be unable to sell certain of its illiquid investments without a substantial drop in price, if at all. Derivatives generally have implied leverage, which can magnify volatility and may entail other risks such as market, interest rate, credit, counterparty, and management risks, which may also hurt a portfolio's performance. Employing derivatives for purposes other than hedging is considered speculative and involves greater risks than those associated with hedging. The use of alternative investment strategies may require a manager's skill in assessing corporate events, the anticipation of future movements in securities prices, interest rates, or other economic factors. No assurance can be given that a manager's view of the economy will be correct, which may result in lower investment returns or higher return volatility.

Cash alternatives: Each type of cash alternatives, such as bank certificates of deposits, Treasury bills, and ultra-short bond mutual funds, has advantages and disadvantages. They typically offer lower rates of return than longer-term equity or fixed-income securities and may not keep pace with inflation over extended periods of time. While government securities are backed by the full faith and credit of the federal government as to payment of principal and interest if held to maturity and are considered free from credit risk, they are subject to interest-rate risk.

Commodities: Investing in commodities is not suitable for all investors. Exposure to the commodities markets may subject an investment to greater share price volatility than an investment in traditional equity or debt securities. The commodities markets are considered speculative, carry substantial risks, and have experienced periods of extreme volatility. Commodities may be affected by changes in overall market movements, commodity index volatility, changes in interest rates, or other factors affecting a particular industry or commodity. Investing in physical commodities, such as gold, exposes a portfolio to other risk considerations such as potentially severe price fluctuations over short periods of time and storage costs that exceed the custodial and/or brokerage costs associated with the portfolio's other holdings. Products that concentrate their investments in the gold industry increase their vulnerability to international, economic, monetary, and political developments affecting the industry.

Equity investments are subject to market risk, which means their value may fluctuate in response to general economic and market conditions, the prospects of individual companies, and industry sectors. Mid- and small-cap stocks are generally more volatile, subject to greater risks, and less liquid than large-cap stocks.

Fixed-income securities: Investments in fixed-income securities are subject to market, interest rate, credit/default, liquidity, inflation, and other risks. Bond prices fluctuate inversely to changes in interest rates. Therefore, a general rise in interest rates can result in the decline in the bond's price. Credit risk is the risk that an issuer will default on payments of interest and/or principal. This risk is heightened in lower-rated bonds. If sold prior to maturity, fixed-income securities are subject to market risk. All fixed-income investments may be worth less than their original cost upon redemption or maturity.

In addition to the risks associated with investment in debt securities, investments in mortgage-backed and asset-backed securities will be subject to prepayment and call risks. Changes in prepayments may significantly affect yield, average life, and expected maturity. If called prior to maturity, similar-yielding investments may not be available for the fund to purchase. These risks may be heightened for longer maturity and duration securities. Commercial Mortgage Backed Securities (CMBS) are a type of mortgage-backed security backed by commercial mortgages rather than residential real estate. CMBS tend to be more complex and volatile than residential mortgage-backed securities due to the unique nature of the underlying property assets.

Foreign securities: Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuations, political and economic instability, and different accounting standards. This may result in greater share price volatility. These risks are heightened in emerging markets.

Master limited partnerships (MLPs): MLPs involve certain risks that differ from an investment in the securities of a corporation. MLPs may be sensitive to price changes in oil, natural gas, etc.; regulatory risk; and rising interest rates. A change in the current tax law regarding MLPs could result in the MLP being treated as a corporation for federal income tax purposes, which would reduce the amount of cash flows distributed by the MLP. Other risks include the volatility associated with the use of leverage, volatility of the commodities markets, market risks, supply and demand, natural and man-made catastrophes, competition, liquidity, market price discount from net asset value, and other material risks.

Municipal bonds offer interest payments exempt from federal taxes and, potentially, state and local income taxes. These bonds are subject to credit risk and, potentially, the Alternative Minimum Tax. Quality varies widely depending on the specific issuer.

Real estate: There are special risks associated with an investment in real estate, including the possible illiquidity of underlying properties, credit risk, interest-rate fluctuations, and the impact of varied economic conditions.

Investment Expertise and Advice to Help Clients Succeed Financially

Wells Fargo Investment Institute's team of experienced strategists and analysts has an overriding mission: delivering timely, actionable investment expertise and advice financial professionals can use to help their clients pursue their financial goals.

100+

Investment strategists and analysts

$1.8 trillion

Investor assets[1]

1000+

Media references annually

1000+

Reports published annually

Source: Wells Fargo Investment Institute, as of March 31, 2017.

1. Investor assets administered by Wells Fargo Wealth and Investment Management (WIM) affiliates; Wells Fargo Investment Institute provides investment advice to WIM.

Global Alternative Investments (GAI) is a division of Wells Fargo Investment Institute, Inc. (WFII). WFII is a registered investment adviser and wholly owned subsidiary of Wells Fargo & Company.

Wells Fargo Wealth and Investment Management (WIM) is a division within Wells Fargo & Company. WIM provides financial products and services through various banking and brokerage affiliates of Wells Fargo & Company.

Wells Fargo Securities is the trade name for the capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Securities, LLC, Member NYSE, FINRA, and SIPC, and Wells Fargo Bank, National Association. Wells Fargo Bank, N.A., is a bank affiliate of Wells Fargo & Company.

The information in this report was prepared by WFII. Opinions represent WFII's opinion as of the date of this report; are for general informational purposes only; and are not intended to predict or guarantee the future performance of any individual security, market sector, or the markets generally. WFII does not undertake to advise you of any change in its opinions or the information contained in this report. Wells Fargo & Company affiliates may issue reports or have opinions that are inconsistent with, and reach different conclusions from, this report.

The information contained herein constitutes general information and is not directed to, designed for, or individually tailored to, any particular investor or potential investor. This report is not intended to be a client-specific suitability analysis or recommendation; an offer to participate in any investment; or a recommendation to buy, hold, or sell securities. Do not use this report as the sole basis for investment decisions. Do not select an asset class or investment product based on performance alone. Consider all relevant information, including your existing portfolio, investment objectives, risk tolerance, liquidity needs, and investment time horizon.

Wells Fargo Advisors is registered with the U.S. Securities and Exchange Commission and the Financial Industry Regulatory Authority, but is not licensed or registered with any financial services regulatory authority outside of the U.S. Non-U.S. residents who maintain U.S.-based financial services account(s) with Wells Fargo Advisors may not be afforded certain protections conferred by legislation and regulations in their country of residence in respect of any investments, investment transactions, or communications made with Wells Fargo Advisors.

Wells Fargo Advisors is a trade name used by Wells Fargo Clearing Services, LLC, and Wells Fargo Advisors Financial Network, LLC, Members SIPC, separate registered broker/dealers and nonbank affiliates of Wells Fargo & Company.

© 2017 Wells Fargo Investment Institute, Inc. All rights reserved.

0517-04246 IHA-4284101

0000594153 (Rev 00, 1 ea)